

FORM TP 2014102

CANDIDATE – PLEASE NOTE!

PRINT your name on the line below and return this booklet with the answer sheet. Failure to do so may result in disqualification.

TEST CODE **01239010**

MAY/JUNE 2014

C A R I B B E A N E X A M I N A T I O N S C O U N C I L

**CARIBBEAN SECONDARY EDUCATION CERTIFICATE®
EXAMINATION**

PRINCIPLES OF ACCOUNTS

Paper 01 – General Proficiency

1 hour 30 minutes

22 MAY 2014 (p.m.)

READ THE FOLLOWING INSTRUCTIONS CAREFULLY.

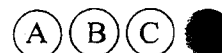
1. This test consists of 60 items. You will have 1 hour and 30 minutes to answer them.
2. In addition to this test booklet, you should have an answer sheet.
3. Each item in this test has four suggested answers lettered (A), (B), (C), (D). After reading each item you are about to answer, decide which choice is best.
4. On your answer sheet, find the number which corresponds to your item and shade the space having the same letter as the answer you have chosen. Look at how it is done in the sample item below.

Sample Item

Prime cost is calculated by adding direct factory expenses to the

Sample Answer

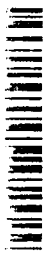
- (A) cost of goods sold
- (B) sale of fixed assets
- (C) sale of finished goods
- (D) cost of materials used



The best answer to this item is “cost of materials used”, so answer space (D) has been shaded.

5. If you want to change your answer erase it completely before you fill in your new choice.
6. When you are told to begin, turn the page and work as quickly and as carefully as you can. If you cannot answer an item, omit it and go on to the next one. You can return later to the item omitted. Your score will be the total number of correct answers.
7. The use of silent electronic calculators is allowed.

DO NOT TURN THIS PAGE UNTIL YOU ARE TOLD TO DO SO.



1. A non-trading organization is MAINLY concerned with
 - (A) importing goods for resale
 - (B) trading only with wholesalers
 - (C) providing various services for its members
 - (D) making maximum profit for the proprietor
2. The term 'Accounting' refers to the
 - (A) use of information in making business decisions
 - (B) use of special ways of recording business information
 - (C) journalizing, posting and balancing of accounts in special books
 - (D) recording, analyzing and interpreting of business information
3. Which of the following accounts are nominal?
 - (A) Wages and Rent
 - (B) Stock and Debtors
 - (C) Machinery and Plant
 - (D) Creditors and Fixtures
4. Amalgamated Components was a private company until it admitted additional shareholders by selling shares on the Stock Exchange. Amalgamated Components can now be described as a
 - (A) Partnership
 - (B) Statutory Corporation
 - (C) Public Limited Company
 - (D) Private Limited Company
5. The purchase of equipment on credit will affect a firm's balance sheet by
 - (A) increasing assets and increasing liabilities
 - (B) decreasing assets and increasing liabilities
 - (C) increasing assets and decreasing liabilities
 - (D) decreasing assets and decreasing liabilities

Item 6 refers to the balance sheet below.

Asset	\$	Capital	\$	\$
Land	4 000	Add Net Profit	13 450	
Motor vehicles	8 000		3 000	
Fixtures	2 600		16 450	
Stock	300	Less drawings	(1 000)	15 450
Debtors	450			
Bank	2 000	Creditors		2 100
Cash	200			
	17 550			17 550

6. The value of TOTAL fixed assets is
 - (A) \$12 000
 - (B) \$14 600
 - (C) \$15 350
 - (D) \$19 650

GO ON TO THE NEXT PAGE

7. The summarized position of Foster and Scott Limited at 06 March 2012 was:

	\$
Current Liabilities	60 000
Current Assets	100 000
Fixed Assets	200 000
Long Term Liabilities	150 000

What was the capital of Foster and Scott Limited at 06 March 2012?

- (A) \$ 40 000
- (B) \$ 90 000
- (C) \$150 000
- (D) \$190 000

8. A business which owns goods valued at \$500, has a van valued at \$1 000 and owes \$50 for goods. If it sells out at these prices the owner's closing capital will be

- (A) \$1 550
- (B) \$1 500
- (C) \$1 450
- (D) \$1 050

9. Mr. Harry, a grocer, bought a computer on credit from Tan Company. Which of the following journal entries will be made for this transaction in Mr. Harry's books?

- (A) Dr Purchases Account
Cr Tan Account
- (B) Dr Computer Account
Cr Cash
- (C) Dr Tan Account
Cr Purchases Account
- (D) Dr Computer Account
Cr Tan Company

10. In order to avoid writing numerous cheques for small amounts, a firm may set up a

- (A) general ledger
- (B) general journal
- (C) petty cash fund
- (D) standing order with a bank

11. Kim Smith purchases goods on credit valued at \$500. She pays off her bill within the grace period and so receives a 10% cash discount. How much does she pay for the goods?

- (A) \$ 50
- (B) \$450
- (C) \$490
- (D) \$550

Item 12 refers to the following information from the books of a company.

	\$
Cash sales	10 000
Credit sales	45 000
Stock on hand	40 000
Drawings	8 000
Cash purchases	12 000
Credit purchases	20 200

12. From the information above, what is the correct closing total for the Sales Account?

- (A) \$47 000
- (B) \$49 000
- (C) \$55 000
- (D) \$59 000

13. Which of the following would NOT appear in a cash book?

- (A) Payment for goods \$100
- (B) Goods sold on credit \$100
- (C) Goods sold for cheque \$100
- (D) Goods bought for cash \$100

- 4 -

14. On 01 May, a petty cashier received an imprest of \$150. During the month, petty cash expenditures amounted to \$77, and \$2 was received from a member of staff who made a personal telephone call. How much cash is needed to restore the imprest on 31 May?
- (A) \$ 73
(B) \$ 75
(C) \$ 77
(D) \$150
15. When a proprietor withdraws cash or other assets from a business, what effect does it have on drawings or capital?
- (A) Capital is decreased.
(B) Capital is increased.
(C) Drawings are decreased.
(D) Neither drawings nor capital is affected.
16. Mr Ram, a shoemaker, bought a motor van for \$11 000 cash. In recording this transaction he should
- (A) Dr Cash; Cr Motor Van Account
(B) Dr Cash; Cr Purchases Account
(C) Cr Cash; Dr Purchases Account
(D) Cr Cash; Dr Motor Van account
17. K. Khan, a debtor of A and B Enterprises, settles her debt of \$120 less discount, by cheque. The double entry in the books of A and B Enterprises should be
- (A) Dr K. Khan \$117
Dr Discount Received \$ 3
Cr Bank \$120
- (B) Dr K. Khan \$117
Dr Discount Allowed \$ 3
Cr Bank \$120
- (C) Dr Bank \$117
Dr Discount Allowed \$ 3
Cr K. Khan \$120
- (D) Dr Bank \$117
Cr Discount Received \$ 3
Cr K. Khan \$120
18. The ABC Company deposited a cheque for \$300 received from Mr Murray. How should this transaction be recorded in ABC's books?
- I. Debit the Cash Account.
II. Debit the Bank Account.
III. Credit Murray's Account.
- (A) I and II only
(B) I and III only
(C) II and III only
(D) I, II and III
19. Which of the following is NOT a nominal account?
- (A) Furniture
(B) Commission
(C) Carriage Inwards
(D) Discount Allowed

GO ON TO THE NEXT PAGE

- 5 -

20. Which of the following accounts are usually transferred to the Trading and Profit and Loss Account?

- (A) Rent, Premises, Drawings
- (B) Drawings, Rent, Purchases
- (C) Commission Received, Rent, Purchases
- (D) Purchases, Furniture, Commission Received

21. In Mr Chin's ledger, an entry on the debit side of the drawings account followed by an entry on the credit side of the bank account means that

- (A) Mr Chin puts money in the business' bank account
- (B) the bank puts money into Mr Chin's personal account
- (C) Mr Chin withdraws money from the bank for use in the business
- (D) Mr Chin uses money from his business' bank account for his personal use

Item 22 refers to the balances below which were extracted from Mrs Martin's ledger.

	\$
Opening stock	7 000
Purchases	4 000
Sales	11 000
Sundry expenses	1 100
Closing stock	3 400

22. What was the cost of goods sold by Mrs Martin?

- (A) \$2 400
- (B) \$2 600
- (C) \$6 400
- (D) \$7 600

Item 23 refers to the following balances at the end of a financial period. These were from the books of J. Sammy, a sole trader.

	\$
Land	7 000
Building	5 000
Stock	1 100
Debtors	500
Bank overdraft	400
Creditors	700
Cash	200
Capital (at start)	10 000
Drawings	300
Net Profit	3 000

23. The current ratio of the business (rounded to 2 decimal places) is

- (A) 1.45 : 1
- (B) 1.64 : 1
- (C) 2.57 : 1
- (D) 3.14 : 1

24. The formula for working capital is

- (A) current assets less current liabilities
- (B) fixed assets less current liabilities
- (C) fixed assets less current assets
- (D) total assets less total liabilities

Item 25 refers to the following information.

A calculation to determine gross profit percentage is as follows:

$$\frac{\$185\,530}{\$529\,800} \times \frac{100}{1} = 35.02\%$$

25. What does the amount \$529 800 represent?

- (A) Total sales
- (B) Gross profit
- (C) Cost of sales
- (D) Total purchases

- 6 -

Items 26–27 refer to the following information supplied by a sole trader.

Amaris One Stop Shop	
	\$
Net sales	30 000
Rent expense	3 000
Discount received	2 000
Gross profit	12 000
Discount allowed	4 000

26. What is the Gross Profit Percentage (to the nearest whole number)?
- (A) 13%
(B) 20%
(C) 27%
(D) 40%
27. What is the Net Profit Percentage (to the nearest whole number)?
- (A) 10%
(B) 17%
(C) 23%
(D) 37%
28. During the year, a company bought stationery for \$220 and used \$120 worth of it. What is the expenditure for stationery that would be posted to the Profit & Loss Account?
- (A) \$100
(B) \$120
(C) \$220
(D) \$340
29. An asset purchased for \$1 000 depreciates at the rate of 10% per annum using the reducing-balance method. What is the book value of the asset at the beginning of the third year?
- (A) \$ 800
(B) \$ 810
(C) \$ 900
(D) \$1 190
30. B. Pascal, a sole trader, started the year owing \$6 000. The business paid only \$5 000 for the year. The \$5 000 was recorded in the Trading and Profit and Loss Account. Which account concept was breached?
- (A) Accruals
(B) Prudence
(C) Consistency
(D) Separate entity

Item 31 refers to the following table.

Period of Debt	Amount of Accounts Receivable	Provision for Bad Debts
Over 3 years	\$6 000	3% of Accounts Receivable
Over 2 years	\$4 000	2% of Accounts Receivable
Over 1 year	\$8 000	1% of Accounts Receivable

31. What is the TOTAL provision for bad debts?
- (A) \$180
(B) \$340
(C) \$400
(D) \$500

32. When a Trial Balance fails to agree, the difference is entered in the

(A) Control Account
(B) Provision Account
(C) Reserve Account
(D) Suspense Account

33. Control Accounts are kept in order to assist Management in

(A) locating errors
(B) increasing profits
(C) limiting drawings
(D) limiting expenditure

34. The net profit of a firm was shown as \$1 600 and it was later discovered that discounts received were undercast by \$10 and purchases were understated by \$36. What is the corrected net profit?

(A) \$1 574
(B) \$1 610
(C) \$1 636
(D) \$1 646

35. The inventory turnover ratio is 5 times. Average stock is \$28 000. What is the cost of goods sold?

(A) \$ 5 600
(B) \$ 70 000
(C) \$140 000
(D) \$280 000

36. The capital at the start of a trading period was \$20 000, and at the end of the period it was \$22 500. The net profit for the period was \$6 500. How much money was withdrawn for the period?

(A) \$2 500
(B) \$4 000
(C) \$6 000
(D) \$9 000

37. Mr Smith does not keep proper records. He began his business with \$10 000 in its bank account. He uses his vehicle and building worth \$6 000 and \$15 000 respectively as part of his business. Customers owe him \$4 000. He withdrew \$1 500 for personal use and owed creditors \$2 000.

What is the closing capital of the business?

(A) \$25 500
(B) \$28 500
(C) \$31 500
(D) \$33 000

38. In a partnership, which of the following transactions is compulsory?

(A) Paying of salaries
(B) Interest on capital
(C) Interest on drawings
(D) Sharing of profits or losses

Item 39 refers to the following information.

	\$
Inventory at 01 January 2013	1 500
Purchases during the month	1 200
Cost of goods sold	1 400

39. What is the inventory at the end of January?

(A) \$ 300
(B) \$ 500
(C) \$ 700
(D) \$1 300

40. Tom, Percy and John formed a partnership and agreed that profits were to be shared in the ratio of 1:1:2 respectively. The net profit for the year was \$18 900. What was John's share of the profit?

(A) \$ 4 725
(B) \$ 9 450
(C) \$14 175
(D) \$18 900

GO ON TO THE NEXT PAGE

- 8 -

41. Which of the following items is NOT recorded in the Appropriation Account of a partnership?
- (A) Drawings
 - (B) **Salaries**
 - (C) Share of profits
 - (D) Interest on capital
42. According to the terms of a partnership agreement, Partner A is to be credited with a salary of \$5 000 per year. How will this be recorded in the books?
- (A) Dr Profit and Loss Account
Cr Cash
 - (B) Dr Appropriation Account
Cr Partner's Current Account
 - (C) Dr Partner's Current Account
Cr Cash
 - (D) Dr Partner's Current Account
Cr Appropriation Account
43. Which of the following accounts shows how profits and losses are shared among partners?
- (A) Current
 - (B) Appropriation
 - (C) Profit and Loss
 - (D) Income and Expenditure
44. According to the Partnership Act, if there is no Deed of Partnership, the amount of profit to be received by EACH partner would be
- (A) in equal shares
 - (B) 5% of net profit
 - (C) 5% on capital invested
 - (D) in proportion to capital invested
45. The reward of profit received by a shareholder in a limited company is called
- (A) interest
 - (B) drawings
 - (C) dividend
 - (D) commission
46. Which of the following features is associated with private limited companies?
- (A) Family owned
 - (B) Shares not sold publicly
 - (C) Financial statements published
 - (D) Government agencies purchase shares
47. When a company declares a dividend of 15%, the dividend warrant sent to a shareholder who owns 1 500 ordinary \$1 shares is
- (A) \$ 100
 - (B) \$ 225
 - (C) \$1 500
 - (D) \$1 515
48. A businessman incurred the following expenses.
- | | \$ |
|-------------------|-------|
| Factory repairs | 6 000 |
| Machinery repairs | 2 000 |
| New machine | 3 000 |
| New vehicle | 7 000 |
- What is the TOTAL capital expenditure?
- (A) \$ 6 000
 - (B) \$ 7 000
 - (C) \$ 8 000
 - (D) \$10 000

- 9 -

49. In a co-operative society, the daily affairs are administered by

(A) the chairman of the board
(B) a majority of shareholders
(C) all members meeting together
(D) persons elected or appointed to do so

Item 50 refers to the following information.

	\$
Beginning capital	30 000
Ending capital	40 000
Drawing during period	4 000
Additional investment during period	3 000

50. What is the amount of Net Income or Loss for the period?

(A) \$ 7 000
(B) \$ 9 000
(C) \$11 000
(D) \$17 000

51. Which of the following accounts BEST describes the Final Accounts of a non-trading organization?

I. Receipts and Payments
II. Income and Expenditure
III. Trading and Profit and Loss

(A) I and II only
(B) I and III only
(C) II and III only
(D) I, II and III

Item 52 refers to the following summary of receipts and payments for a club at 01 March.

	\$
Subscriptions received	300
Rent paid	60
Purchase of games and equipment	150
Postage of circulars	20
Proceeds from book sale	250

52. What is the cash balance at 31 March?

(A) \$ 180
(B) \$ 280
(C) \$ 320
(D) \$ 620

Item 53 refers to the following information provided by a business.

	\$		\$
Bank balance at August 2012	700	Inventory at 31 July 2013	2 000
Purchase of refreshments	500	Donations to charity	200
Purchase of furniture	500	Depreciation of furniture	50
Sale of equipment	600	Proceeds from raffle	1 500

53. What is the bank balance in the Receipts and Payments Account for the year ended 31 July 2013?

(A) \$ 900
(B) \$1 600
(C) \$2 850
(D) \$3 550

GO ON TO THE NEXT PAGE

- 10 -

54. The balances of the Asset Accounts of the Bayroe Club as at 30 June 2012 were as follows:

	\$
Premises	5 400
Equipment	1 825
Furniture	960
Bank and cash	1 640
Inventory of refreshments	72

The amount of the accumulated fund was

- (A) \$1 640
(B) \$4 497
(C) \$8 185
(D) \$9 897

Item 55 refers to the following information provided by XY Manufacturing Company.

	\$
Sales	900 000
Opening stock of finished goods	20 000
Closing stock of finished goods	10 000
Production cost of goods completed	400 000
Purchases of finished goods	100 000

55. What is the Gross Profit?

- (A) \$390 000
(B) \$500 000
(C) \$790 000
(D) \$800 000

Item 56 refers to the following list of balances.

	\$
Work in progress 01 January	1 600
Work in progress 31 December	1 700
Cost of materials used	3 000
Indirect expenses	3 200
Factory wages	5 000

56. What is the cost of goods produced?

- (A) \$ 8 000
(B) \$ 8 700
(C) \$11 100
(D) \$11 200

Item 57 refers to the following information.

J. Baynes Manufacturing Account for Period Ended 31 December 2013			
	\$		\$
Inventory of raw materials 01 January 2013	800		
Purchases of raw materials during year	<u>4 500</u>	Balance carried forward	6 800
	5 300		
Less closing inventory of raw materials 31 December 2013	<u>1 400</u>		
	3 900		
Productive wages	1 300		
Fuel and power	900		
Lubricants	100		
Rent and rates	400		
Insurance	<u>200</u>		
	<u>6 800</u>		<u>6 800</u>

57. What is the cost of the raw materials consumed?

- (A) \$ 800
- (B) \$1 200
- (C) \$3 900
- (D) \$4 500

Item 58 refers to the following information relating to Harvard Sports Club for 2013.

Number of members	50
	\$
Annual subscriptions	50
Subscriptions owing at the beginning of the year	450
Subscriptions owing at the end of the year	150

58. How much should be credited to the Club's Income and Expenditure Account as TOTAL subscription for the year?

- (A) \$1 500
- (B) \$1 950
- (C) \$2 500
- (D) \$4 500

- 12 -

Item 59 refers to the following information for V. Jones.

	\$
Net Pay	1 200
Income Tax	300
National Insurance	50

59. What is the gross pay for V. Jones?

- (A) \$ 850
- (B) \$ 950
- (C) \$1 450
- (D) \$1 550

60. Which of the following is NOT considered a source document for the payroll?

- (A) Clock card
- (B) Attendance register
- (C) Medical certificate
- (D) Electronic time card

END OF TEST

IF YOU FINISH BEFORE TIME IS CALLED, CHECK YOUR WORK ON THIS TEST.